

merchant outlets. “The merchant payments sector operates within a scale-driven paradigm. In India, the acquiring landscape remains local and predominantly offline,” says Thakur. Sharma will have to build the payments business around the device strategy. A big benefit is monetising merchants for loans and other financial products.

CAUGHT IN THE MELEE

Sharma stepped up his lending business long before the PPBL restrictions were put in place. Over the years, Paytm has onboarded eight lending partners, including Tata Capital and Shriram Finance. Sharma often calls it the 2x2 approach: the loan amount is less than ₹2 lakh and the tenor is not more than two

years. The model is simple—Paytm acts as a distributor and marketer of loans, services loans, and does collections. The value of loans originated for partners was ₹15,535 crore in the Q3FY24. This business is growing by 50%-plus YoY on a low base.

Paytm had paused the distribution of personal loans for a few days after the PPBL ban. This was because its partners were updating their risk committees, managements, or boards. “Certain aspects, such as merchant loans, require assurance that if a loan is given today, the QR code will still be functional 45 days from now. In the first half of March, RBI and various bank partners provided the final confirmation,” says a company insider. In its recent report, financial services major Macquarie raised the possi-

bility of lending partners reassessing their relationships with Paytm for loan origination after the PPBL affair. On top of that, in the past 12 months or so, the unsecured loans market—particularly for entry level smaller ticket size loans to new-to-credit customers—has seen higher stress. Paytm, with Paytm Postpaid, its product in this space—with an average ticket size of ₹6,800—has been hit hard. “The BNPL business has collapsed for all players due to RBI’s caution regarding consumption-related small-ticket loans,” says a market player.

Paytm is aligning its policies closely with RBI’s directives. Postpaid constitutes one-third of its volumes but yields significantly lower margins compared to other loan products. The company’s personal

How Paytm Makes Money

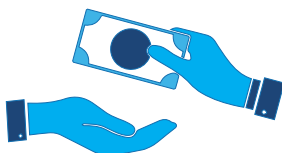


BUSINESS VERTICAL:
Payment Services

KEY AREAS:

Payments services to merchants like Soundboxes, EDC machines; and FASTag payments, utility bill payments, and ticketing for retail customers

IMPACT: Badly hit



BUSINESS VERTICAL:
Financial Services

KEY AREAS: Financial services business consists of loan distribution (in partnership with lending partners), as well as insurance and wealth management offerings

IMPACT: Hit by overheating in unsecured loans



BUSINESS VERTICAL:
Marketing Business (earlier called Commerce & Cloud)

KEY AREAS: Services for merchants to sell tickets, deals and gift vouchers to customers. Plus, provide advertising, and loyalty

IMPACT: No major impact

NOTE PAYTM’S KEY BUSINESS VERTICALS